

CHAPTER 3

ORGANIZING

Formal Exam-Oriented Notes

Industrial Management and Accountancy (HUM-2213)

Context Hint: *This chapter explains how management converts plans into an organized system of jobs, departments, authority, resources, reporting relationships, and coordinated activities.*

Basis: Prepared from the provided Chapter 3 lecture notes and slide deck, preserving the terminology and conceptual sequence used in the materials.

Writing style: Formal paragraphs suitable for descriptive/creative management examination answers.

1. OVERVIEW OF ORGANIZING

Context Hint: This opening section explains what organizing means and why it is necessary after planning.

Organizing is the second key management function after planning. Planning determines what an organization wants to accomplish, whereas organizing determines how the planned work will be arranged and carried out. It coordinates human efforts, arranges resources, assigns tasks, defines jobs and working relationships, establishes authority, and creates a structure through which organizational objectives can be achieved efficiently and effectively.

Definition: Organizing is the process of combining organizational resources and establishing productive relationships among them to achieve predetermined objectives effectively and efficiently.

The importance of organizing can be understood from the fact that an organization possesses several types of resources, including money, materials, machines, and manpower. These resources cannot produce the desired result simply by existing. They must be properly arranged and connected with one another. Organizing therefore creates a systematic relationship among people, tasks, resources, responsibilities, and authority.

The organizing function ultimately leads to the creation of an organizational structure. This structure specifies the roles to be performed by suitably skilled people and defines the relationships among those roles. By doing so, organizing reduces ambiguity regarding duties and responsibilities and enables individuals to work together for a common purpose.

Exam-ready point: In an examination, begin with the definition of organizing, then explain that it follows planning and converts plans into action by arranging people, work, resources, authority, and relationships.

2. BASIC ELEMENTS / KEY ASPECTS OF ORGANIZING

Context Hint: This section introduces the six building blocks that management uses to construct an organizational structure.

Organizing can be understood as the process of deciding how the different elements of an organization should be arranged. Just as different building blocks can be assembled in different ways to create different structures, managers can arrange jobs, departments, authority, and relationships in different ways. The major building blocks identified in the lecture are job design, grouping jobs or departmentalization, establishing reporting relationships, distributing authority, coordinating activities, and differentiating between positions.

2.1 Job Design

Context Hint: The focus here is the individual job: what a particular employee is responsible for doing.

Job design is the first building block of organizational structure. It refers to determining an individual's work-related responsibilities. Management must decide what activities a person is expected to perform, what decisions the person may make, what standards should be followed, and what results are expected.

For example, in a manufacturing organization, the job design of a machinist may specify which machines are to be operated, how they are to be operated, and what performance standards are expected. For a manager, job design may identify decision-making responsibilities, goals, expectations, and appropriate indicators of success. Thus, job design provides clarity about the content and responsibility of an individual's work.

Exam-ready point: Remember the central question of job design: What responsibilities should be assigned to this individual?

2.2 Grouping Jobs / Departmentalization

Context Hint: Once individual jobs have been designed, this section explains how related jobs are grouped into logical departments.

The second element is the grouping of jobs according to some logical arrangement. This process is known as departmentalization. When an organization is small, the owner-manager may personally supervise everyone. As the organization grows, this becomes increasingly difficult, so managerial positions and departments are created. Jobs are not grouped randomly; they are grouped according to a logical plan.

Departmentalization makes it possible to place related activities together and facilitates specialization. For example, jobs related to production can be grouped in a production department, while marketing-related jobs can be grouped in a marketing department. The exact departments depend on the nature of the organization.

Exam-ready point: Job design defines individual responsibilities; departmentalization groups related jobs together.

2.3 Establishing Reporting Relationships

Context Hint: After jobs and departments are created, management must establish who reports to whom and how supervision is arranged.

The third element of organizing is establishing reporting relationships among organizational positions. The purpose is to clarify the chain of command and the span of management. Employees need to know who can give them instructions, to whom they should report, and where responsibility ultimately lies.

2.3.1 Chain of Command

Context Hint: Chain of command concerns the formal flow of authority from higher positions to lower positions.

Chain of command refers to the establishment of clear and distinct lines of authority among positions in an organization. It explains the formal reporting path through which authority moves from the highest position to the lowest position.

The chain of command traditionally contains two important components. The first is unity of command, which suggests that each person should have a clear reporting relationship with one boss. This reduces the possibility of conflicting instructions. The second is the scalar principle, which suggests that there should be a clear and unbroken line of authority extending from the lowest to the highest position in the organization. In this way, responsibility can ultimately be traced to a responsible authority.

2.3.2 Span of Management

Context Hint: Span of management asks how many people a manager can directly supervise and therefore influences whether an organization becomes flatter or taller.

Span of management, also called span of control, refers to the number of people who report directly to a manager. For example, if one manager directly supervises five employees, the manager has a span of five. If another manager directly supervises fifteen employees, that manager has a wider span.

Span of management affects the shape of an organization's hierarchy. A relatively narrow span can require more managerial levels, creating a taller organizational structure. A relatively wide span can reduce the number of managerial levels and contribute to a flatter structure. However, there is no universal or fixed optimal span because the appropriate number depends on the circumstances of the organization.

Exam-ready point: Chain of command answers who reports to whom; span of management answers how many people report to one manager.

2.4 Distributing Authority

Context Hint: This section explains who has the legitimate right to make decisions and how decision-making power is distributed.

Authority is the power that has been legitimized by the organization. As organizations become larger, management must determine how authority will be distributed among different positions. An employee who receives responsibility for a task must also receive appropriate authority to make the decisions necessary to perform that task.

For example, if a sales representative is responsible for selling products but must obtain the owner's approval for every delivery date or discount, the representative cannot operate effectively. Therefore, authority must be distributed in a manner that allows employees and managers to make appropriate decisions within their responsibilities.

2.4.1 Delegation

Context Hint: *Delegation concerns the transfer of part of a manager's workload and authority to a subordinate.*

Delegation is the establishment of a pattern of authority between a superior and one or more subordinates. More specifically, it is the process through which a manager assigns a portion of the manager's total workload to others. Delegation allows work to be distributed throughout the organization instead of requiring a manager to perform every task personally.

Effective delegation requires a suitable relationship between responsibility and authority. When a subordinate is given a task, the subordinate must possess sufficient authority to carry out that task. Delegation therefore helps an organization distribute work and decision-making capacity.

2.4.2 Centralization and Decentralization

Context Hint: *This distinction concerns whether decision-making power is retained near the top or distributed toward lower levels of management.*

Centralization is the process of systematically retaining power and authority in the hands of higher-level managers. In a centralized organization, important decisions remain concentrated at the higher levels of management. Lower-level employees or managers have comparatively less independent decision-making authority.

Decentralization is the process of systematically delegating power and authority throughout the organization to middle- and lower-level managers. In a decentralized organization, decision-making authority is distributed farther down the chain of command. Centralization and decentralization therefore represent opposite ends of a continuum of authority distribution.

Exam-ready point: Delegation is mainly a superior-subordinate transfer of workload and authority; centralization and decentralization describe the broader pattern of where authority is retained or distributed throughout the organization.

2.5 Coordinating Activities

Context Hint: *After work is divided and departments are created, this section explains how the separate activities are connected so that they contribute to one organizational objective.*

Coordination is the process of linking the activities of different departments and organizational units. Job specialization and departmentalization divide organizational work into smaller units. However, the organization cannot achieve its objectives if these units work independently without connection. Coordination creates systems through which departmental activities remain linked and focused on common organizational goals.

For example, production, marketing, sales, and finance may perform different activities, but their work must fit together. Production must know what sales and marketing require; marketing must communicate realistic information to customers; and finance must support the necessary operations. Coordination therefore brings specialized activities together into a unified organizational effort.

2.6 Differentiating Between Positions

Context Hint: *This section distinguishes positions that directly achieve organizational objectives from positions that provide expertise and support.*

The final building block is differentiation between line and staff positions. A line position is a position in the direct chain of command that is responsible for achieving organizational goals. A staff position, in contrast, is intended to provide expertise, advice, and support to line positions.

For example, a production manager may be a line manager because production directly contributes to the organization's main output. An HR specialist may function as a staff position by providing advice and support regarding recruitment, training, and employee-related matters. Modern organizations may sometimes blur the distinction between line and staff, but the distinction remains useful for understanding organizational roles.

Exam-ready point: Line positions directly participate in achieving organizational objectives; staff positions mainly provide expertise, advice, and support.

3. PROCESS OF ORGANIZING

Context Hint: This section explains organizing as a sequence of practical steps through which an organization moves from a plan to a functioning structure.

Organizing is a systematic process that binds activities and resources together in a logical sequence. The lecture identifies six major steps: identification and division of work, departmentalization, assignment of the task, establishment of organizational hierarchy, provision of resources to members, and coordination of efforts and scheduling of activities.

3.1 Identification and Division of Work

Context Hint: The process begins by identifying all the work required to implement the organizational plans and dividing it into manageable activities.

The first step in organizing is to identify the work that needs to be performed and divide it according to the organizational plans. A large organizational objective is difficult to perform as one undivided activity. Therefore, the work is classified into different manageable activities. Division of work also helps avoid unnecessary duplication and encourages sharing of work among organizational members.

3.2 Departmentalization

Context Hint: After work is divided, similar activities are brought together so that departments can be formed.

After the activities have been identified and divided, activities having a similar nature are grouped together. This grouping is called departmentalization. Departmentalization facilitates specialization and forms the basis for creating departments. It provides a logical arrangement through which related activities can be supervised and managed together.

3.3 Assignment of the Task

Context Hint: Once departments exist, management must place suitable employees into appropriate jobs.

After departments are formed, employees are placed in different departments under departmental managers. Tasks are then assigned according to the skills, qualifications, and competencies of the employees. Effective organizing requires an appropriate match between the job and the person performing it. In other words, the right person should be placed in the right job.

3.4 Establishment of Organizational Hierarchy

Context Hint: This step establishes the formal reporting structure so that employees know who can direct them and to whom they must report.

Assignment of work alone is not sufficient. Employees must also understand who has authority over them, whom they should report to, and who can give them instructions. Therefore, work relationships are established clearly, resulting in an organizational hierarchy. This hierarchy creates a formal pattern of authority and responsibility throughout the organization.

3.5 Provision of Resources to Members

Context Hint: *People cannot perform assigned responsibilities unless the organization provides the necessary resources.*

The next step is to arrange and deploy the resources required for day-to-day operations. These resources may include money, materials, supplies, machines, and other necessary inputs. Providing resources ensures that employees and departments have the means required to perform their assigned work.

3.6 Coordination of Efforts and Scheduling of Activities

Context Hint: *The final step ensures that different people and departments perform their activities in a logical sequence and toward the same objective.*

The final step in organizing is the coordination of efforts and scheduling of activities. Different organizational activities are interdependent, so they must be arranged logically and systematically. Coordination ensures that the efforts of different employees and departments support one another and contribute to the achievement of common organizational objectives.

Exam-ready point: For a long-answer question, present the six steps in order and explain each step as a part of one continuous organizing process.

4. ORGANIZATION STRUCTURE

Context Hint: This section explains the overall framework created by organizing: how people, work, resources, departments, and authority are arranged.

Organization structure is the framework within which managerial and operating tasks are performed. It specifies relationships among people, work, and resources in an organization. In other words, it provides the formal arrangement through which responsibilities, authority, departments, and reporting relationships are organized.

Different organizations may require different structures because their activities, products, geographical coverage, and operating environments differ. The chapter identifies four major forms: functional structure, divisional structure, geographic structure, and matrix structure.

4.1 Functional Organization Structure

Context Hint: Functional structure is based on specialization: employees are grouped according to the type of work or function they perform.

A functional structure groups similar or related occupational specialists and organizes work around functions such as human resources, accounts and finance, production, marketing, sales, research and development, and transportation. It is described in the lecture as the most traditional and common organizational structure.

Under a functional structure, employees performing similar activities are placed in the same department and are supervised by a functional manager. For example, production-related employees belong to the production department, while marketing-related employees belong to the marketing department. This arrangement allows people with similar expertise and responsibilities to work within the same functional area.

The functional structure shown in the provided material places the CEO at the top and then separates the organization into functional areas such as purchasing, production, marketing, sales, research and development, and human resources. The lower-level responsibilities within each function correspond to the activities of that department.

Exam-ready point: Key idea: Functional structure groups employees according to what they do or the function they perform.

4.2 Divisional Organization Structure

Context Hint: Divisional structure is used when the organization is divided around major products, businesses, services, customers, or other distinct business areas.

A divisional structure divides the whole enterprise into semi-autonomous divisions. The divisions may be based on major products, services, customers, or geographic regions. Each division operates as a relatively separate entity and may have its own functional departments such as marketing, finance, production, and operations.

In a multidivisional structure, each product division is responsible for a distinct business area. The division receives considerable authority for operating decisions and business-level strategy and is held accountable for its performance. Headquarters retains responsibility for corporate-level strategy, control of the divisions, allocation of capital, supervision and coaching of divisional managers, and transfer of valuable skills between divisions.

The figure in the lecture material illustrates a company divided into product-oriented businesses such as cosmetics, garments, footwear, skincare, and medicines, with functional activities appearing within a division. This illustrates the central idea that each major business can operate as a largely self-contained unit while remaining part of the larger organization.

Exam-ready point: Key idea: Divisional structure groups the organization around major products, services, customers, or business areas. Each division may contain its own functional departments.

4.3 Geographic Organization Structure

Context Hint: *Geographic structure is based on location and becomes particularly relevant when a company operates across different regions or national markets.*

A geographic structure is adopted when a firm expands into different geographic regions while operating in a particular business. The major subunits of the organization become geographic areas such as regions within a country, individual countries, or groups of countries.

Each geographic area may function as a largely self-contained entity and may have its own production, marketing, research and development, and human resource functions. Operational authority and strategic decisions relating to activities within the area may be decentralized to the regional unit, while headquarters retains authority over the overall strategic direction and financial control of the firm.

The geographic structure in the provided material places a head office above several geographical regions. Each region contains its own functional activities. The purpose of this arrangement is to manage the needs of different geographical markets through region-specific organizational units.

Exam-ready point: Key idea: Geographic structure groups organizational activities according to where the organization operates, such as regions or countries.

4.4 Matrix Organization Structure

Context Hint: *Matrix structure combines two organizational dimensions, usually functional expertise and project/product responsibility, so employees can work across functional boundaries.*

The matrix approach combines aspects of functional and divisional structures simultaneously within the same part of the organization. It is particularly associated with organizations operating in dynamic environments where rapid change and uncertainty create a need for greater flexibility. The structure evolved partly to improve horizontal coordination and information sharing.

The unique feature of the matrix structure is its dual line of authority. An employee may report to a functional manager because of the employee's professional specialization and also report to a project manager because of the project on which the employee is working. Thus, the matrix provides both vertical functional relationships and horizontal project or divisional relationships.

For example, a software engineer may belong to the R&D; function and therefore report to the R&D; manager. At the same time, that engineer may be assigned to a particular product-development project and therefore work under a project manager. The employee exists at the intersection of the functional and project dimensions.

The major conceptual benefit of the matrix is that it creates cross-functional teams and improves coordination and information sharing across functional boundaries. At the same time, the dual reporting relationship can make authority and priorities more complex because an employee may receive directions from two supervisors.

Exam-ready point: Key idea: Matrix structure combines functional and project/divisional relationships and is characterized by dual lines of authority.

5. COMPARATIVE UNDERSTANDING OF THE FOUR STRUCTURES

Context Hint: This section is designed to help distinguish the four structures clearly in an examination without confusing their bases of grouping.

The four structures differ mainly in the basis used to group organizational activities. In a functional structure, employees are grouped according to their occupational function. In a divisional structure, the organization is grouped around products, services, customers, or distinct business areas. In a geographic structure, the grouping is based on regions or locations. In a matrix structure, functional and project or divisional relationships are combined simultaneously.

Structure	Main basis of grouping	Core idea
Functional	Function / type of work	Employees performing similar work are grouped together.
Divisional	Product / service / customer / business area	Each major business or product area becomes a relatively self-contained division.
Geographic	Region / country / location	Activities are organized around geographical markets or areas.
Matrix	Function + project/division	Employees have both functional and project/divisional relationships.

A useful way to remember the distinction is to ask what the organization is primarily using as its grouping principle. Functional structure asks, in effect, what type of work people perform. Divisional structure asks which product, service, customer group, or business area they belong to. Geographic structure asks where the activities are performed. Matrix structure asks the organization to manage two dimensions at the same time, such as functional expertise and project responsibility.

6. IMPORTANT CONCEPTUAL DISTINCTIONS

Context Hint: These distinctions are especially useful for short questions, comparison questions, and avoiding common conceptual confusion in examinations.

Job Design versus Departmentalization

Job design focuses on an individual position and determines what responsibilities that person will perform. Departmentalization occurs after jobs have been identified and groups related jobs together into logical departments. Therefore, job design concerns the content of an individual job, whereas departmentalization concerns the arrangement of multiple related jobs.

Chain of Command versus Span of Management

Chain of command describes the line of authority and reporting relationships throughout the organization. It answers the question of who reports to whom. Span of management concerns the number of subordinates directly reporting to a manager. Therefore, chain of command concerns the direction and continuity of authority, while span of management concerns the number of people supervised by one manager.

Delegation versus Decentralization

Delegation refers to the assignment of part of a manager's workload and authority to one or more subordinates. Decentralization refers to a broader organizational pattern in which power and authority are systematically distributed to middle- and lower-level managers. Thus, delegation describes an authority relationship between positions, while decentralization describes the overall distribution of authority across the organization.

Centralization versus Decentralization

Centralization occurs when decision-making authority is retained primarily by higher-level managers. Decentralization occurs when decision-making authority is distributed downward through the organization. They represent opposite ends of the authority-distribution continuum.

Line versus Staff Positions

Line positions belong to the direct chain of command and are responsible for achieving organizational objectives. Staff positions provide expertise, advice, and support to line positions. The distinction is therefore based on whether a position is directly responsible for the organization's main objectives or primarily provides specialized support.

7. EXAM-READY CONCLUSION

Context Hint: Use this concluding idea when writing a long descriptive answer about organizing as a management function.

Organizing is a fundamental management function because it provides the structure through which organizational plans are implemented. It divides work into manageable jobs, groups related jobs into departments, establishes reporting relationships, distributes authority, provides necessary resources, and coordinates the activities of different organizational units. Through these arrangements, organizing clarifies responsibilities, reduces ambiguity, facilitates cooperation, and helps the organization use its resources effectively and efficiently.

The resulting organizational structure may be functional, divisional, geographic, or matrix depending on the basis used to arrange work and relationships. Therefore, the central purpose of organizing is not merely to create departments or hierarchies; rather, it is to create a systematic relationship among people, work, authority, and resources so that individual efforts can be combined toward the achievement of common organizational objectives.

8. QUICK REVISION FRAMEWORK

Context Hint: This final section is a memory framework rather than a replacement for the formal explanations above.

Organizing: arranging people, work, resources, authority, and relationships to achieve objectives.

Six building blocks: Job Design → Departmentalization → Reporting Relationships → Authority → Coordination → Line/Staff differentiation.

Reporting relationships: Chain of Command + Span of Management.

Authority: Delegation + Centralization/Decentralization.

Organizing process: Identify & divide work → Departmentalize → Assign tasks → Establish hierarchy → Provide resources → Coordinate & schedule.

Structures: Functional → Divisional → Geographic → Matrix.

Memory questions: What work? → Who works together? → Who reports to whom? → Who can decide? → How will activities connect? → What structure fits?

Source basis: The provided HUM-2213 Chapter 3 lecture notes and the accompanying Chapter 3 slide deck. The explanations above preserve the terminology and conceptual coverage of those materials.